Margin Performance Analysis Report

1. Purpose of the Report: The purpose of this report is to analyse the gross margin performance of shipped orders across multiple business dimensions including time, items, customers, warehouses, and product categories.
This analysis aims to:

- Evaluate the overall profitability performance of the business.
- Identify margin trends during 2023-2026 and detect potential profitability risks.
- Highlight high-performing and underperforming items, customers, and product categories.
- Detect potential margin leakage caused by low-margin or negative-margin transactions.
- Provide data-driven insights to support pricing strategy, product mix optimisation, and commercial decision-making.

*** Metric Definition**

- **Total Orders:** Number of completed orders
- **Total Shipped Value:** Total revenue from shipped items
- **Item GM:** Shipped Value – COGS + Adjusted COGS
- **Item GM%**: (Revenue – COGS + Adjusted COGS) / Revenue
- **Margin Bucket:** Grouping of orders based on GM% ranges

2. Executive Overview

During the 2023–2026 period, the business processed **98.54K orders**, generating **$42.53M** in shipped revenue and delivering an **average gross margin of 36.11%**, equivalent to approximately **$15.41M margin value.** Overall profitability remains strong, with the majority of orders achieving margins above 20%, indicating that the current pricing structure generally supports sustainable profit generation.
Margin performance improved from 35.48% in 2023 to a peak of 38.74% in 2024, and remained relatively stable at 37.00% in 2025. However, a notable decline occurred in 2026, where margin dropped to 21.98%, signalling potential profitability pressure. Analysis across items, customers, product categories, and warehouses shows clear variation in margin performance, highlighting opportunities to further improve profitability through pricing optimisation and product mix management.

3.Key Insights

- **Overall profitability remains strong**, with an average margin of **36.11%** across **$42.53M revenue**, indicating that the current pricing structure is generally effective. The majority of orders fall within the **>20% margin bucket**, suggesting a strong baseline profitability across most transactions.
- **Margin deterioration in 2026 is the most critical risk identified.** Margin dropped sharply from 37.00% in 2025 to 21.98% in 2026, representing a decline of over **15%**, which may indicate increased discounting, rising procurement costs, or a shift toward lower-margin product mix.
- **Margin contribution is highly concentrated among a small number of items.** High-performing SKUs such as UL67381133 ($0.72M GM), B410RED ($0.36M GM), and UL67295947 ($0.31M GM) contribute a disproportionately large share of total margin, indicating strong pricing power or favourable product positioning.
- **Several items generate significant negative margins**, highlighting potential pricing or cost management issues. Examples include DXPW160WE (-$0.81M GM) and DXPW3200V (-$0.68M GM)**,** which represent clear cases of margin leakage and require immediate pricing review.
- **Customer profitability varies significantly**, with some customers generating exceptionally high margins while others contribute substantial losses. For example, customers such as MITWARAV (53.03%) and MITWAWEL (50.95%) deliver strong margins, whereas customers including 14SUPERUSD (-90.00%) and BUNWA9453 (-60.28%) generate significant negative margins.
- **Category performance shows clear profitability gaps.** The Outdoor Living category delivers the strongest margins at 42.06%, while Home Living records significantly lower margins at 20.96%, suggesting opportunities to rebalance product mix toward higher-margin categories.
- **Revenue concentration does not necessarily align with margin performance.** For example, Safety & Industrial generates the highest revenue ($17.5M) but does not produce the highest margins, indicating that high sales volume does not always translate into optimal profitability.
- **Warehouse 2MOR contributes the majority of revenue and margin**, generating approximately $26M revenue and $16M GM, compared to $17M revenue and $11.5M GM from 4BRI, suggesting that profitability is strongly driven by transactions processed through this location.

Total orders	Total Shipped Value	Shipped GM%	Total Item Shipped GM
98.54K	$42.53M	36.11%	$15.31M

Customer Code

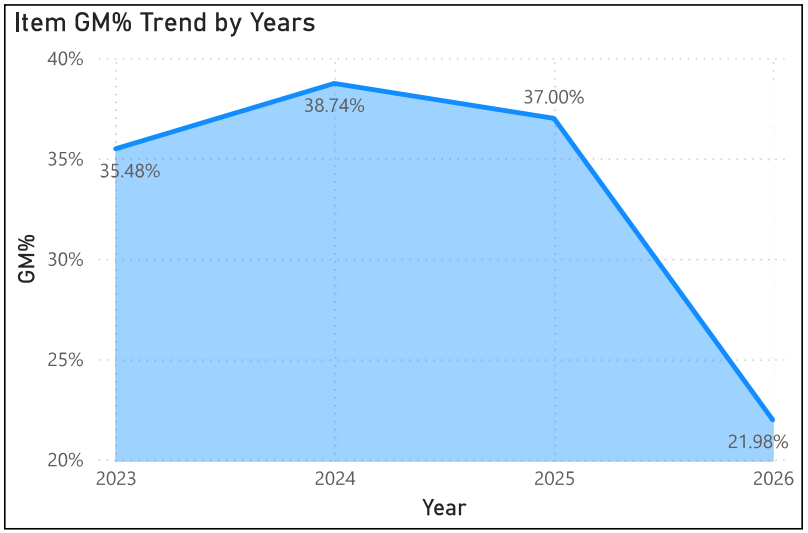
Filter by keyword

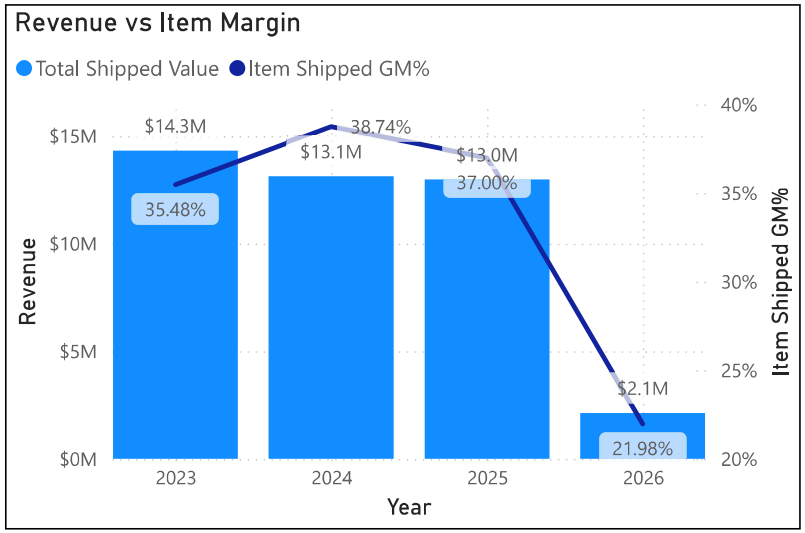
Item Code

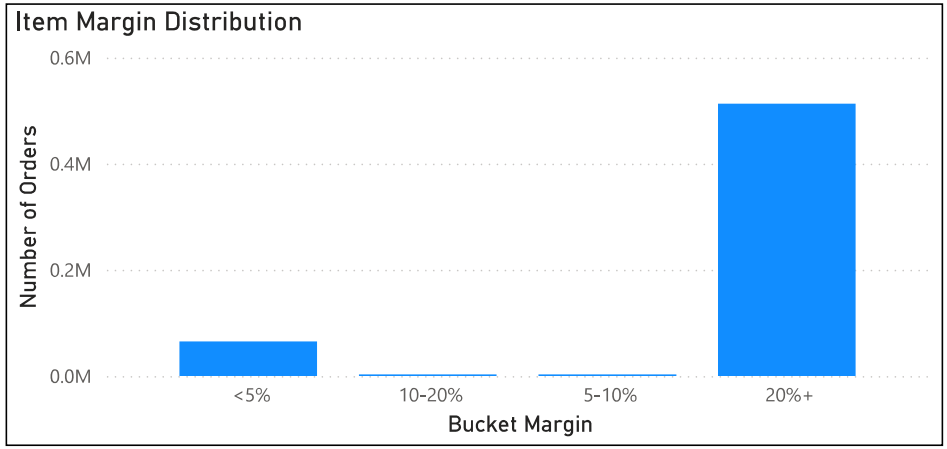
Filter by keyword

Whse Code

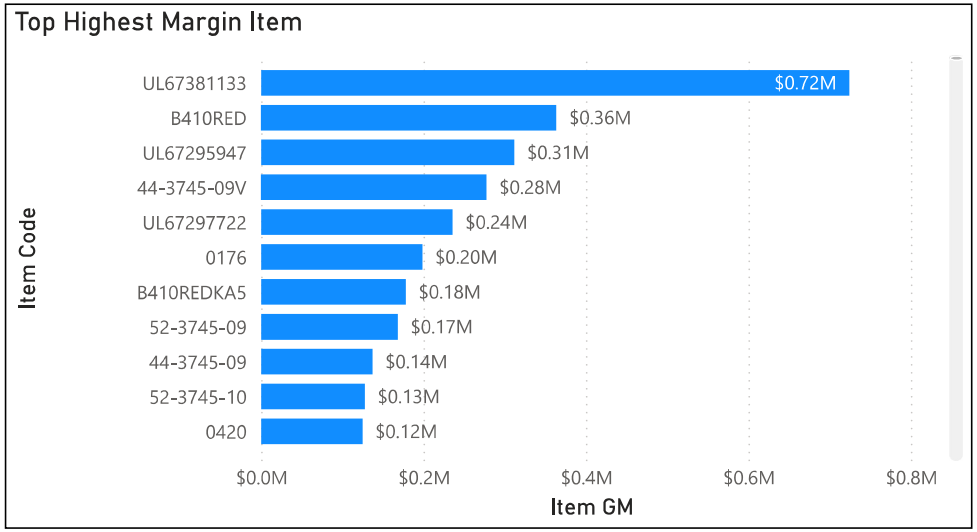
- 0NAW
- 1PRT
- 1SAM
- 2ALL
- 2BOT
- 2DIR
- 2EXL
- 2FOB

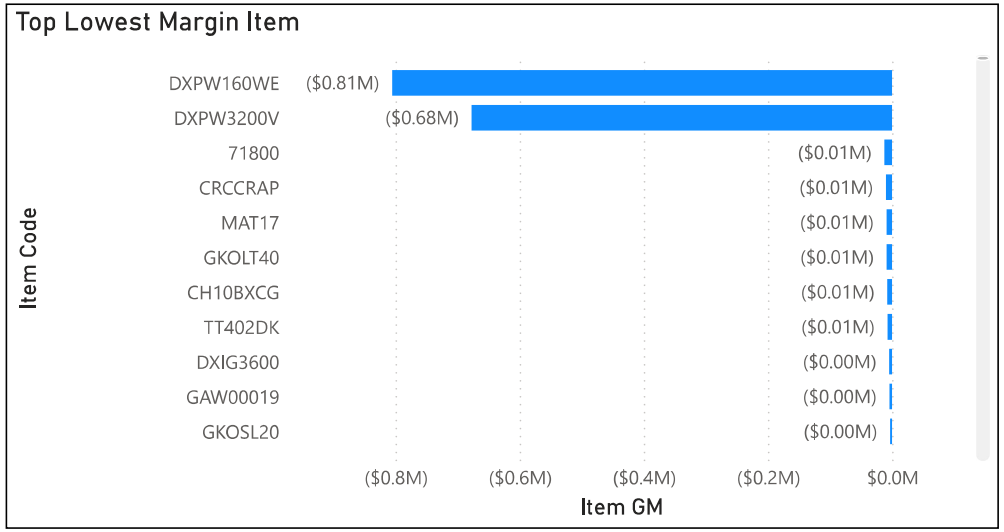


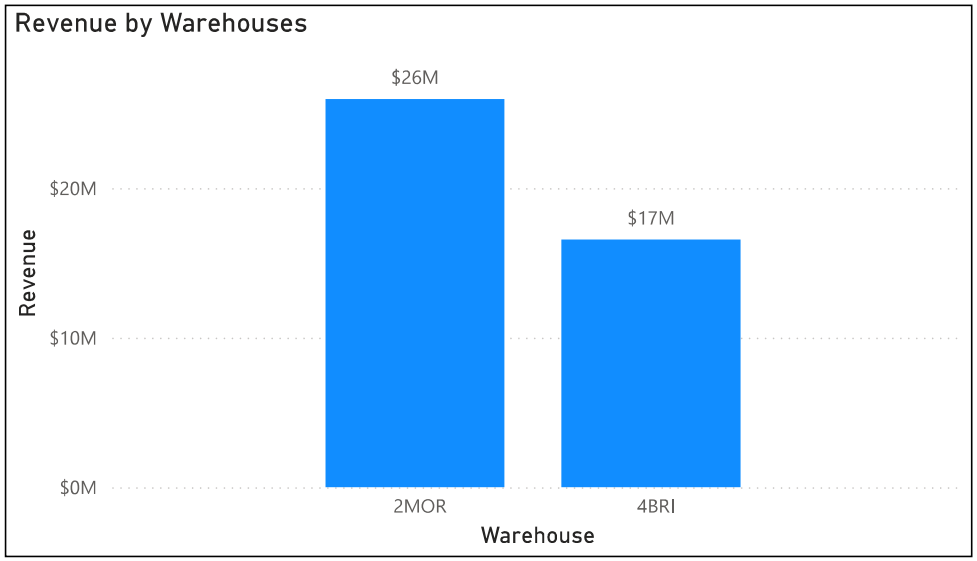


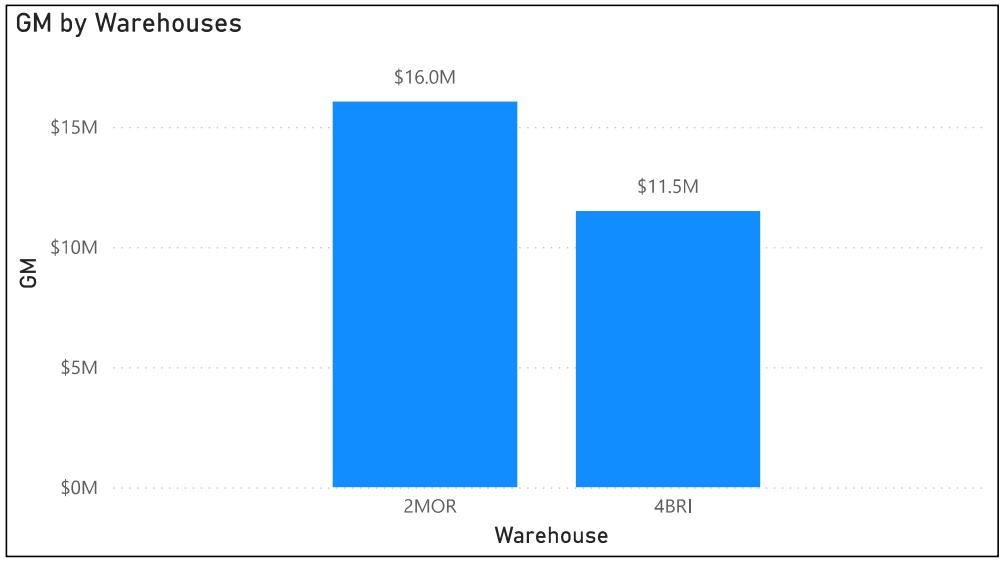


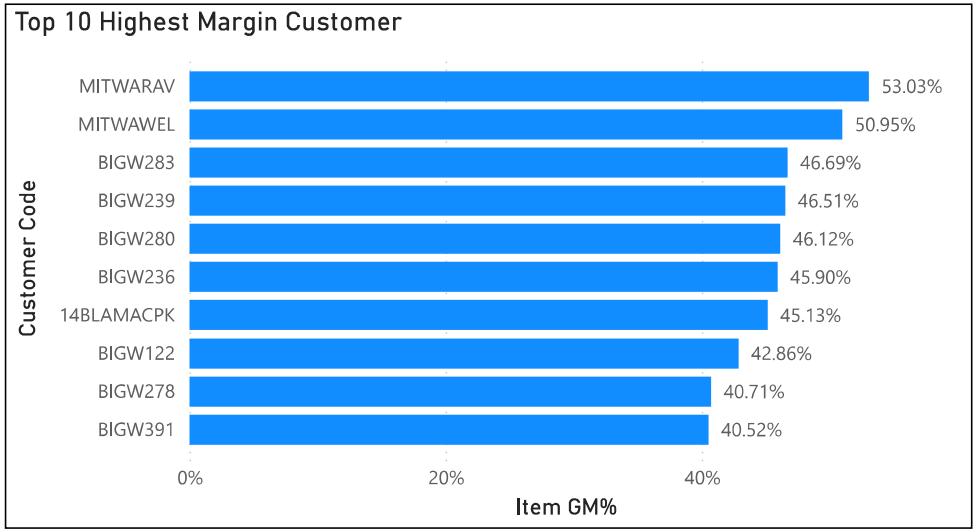
Customer Code	Customer Name	Customer Whse Code	Order No	Item Category
10BBQWARRA	BBQ WARRANTY	2MOR	1996944	OULI - OUTDOOR LIVING
10BBQWARRA	BBQ WARRANTY	2MOR	2011636	-
10BBQWARRA	BBQ WARRANTY	2MOR	2011636	OULI - OUTDOOR LIVING
10BBQWARRA	BBQ WARRANTY	2MOR	2094370	OULI - OUTDOOR LIVING
10BBQWARRA	BBQ WARRANTY	2MOR	2094370	OULI - OUTDOOR LIVING
10BBQWARRA	BBQ WARRANTY	2MOR	2135987	HWTO - HARDWARE & TC
10BBQWARRA	BBQ WARRANTY	2MOR	2155803	HWTO - HARDWARE & TC
10FNASTAMA	FNA SERVICE SUPPORT	2MOR	2053304	-
10FNASTAMA	FNA SERVICE SUPPORT	2MOR	2053304	HWTO - HARDWARE & TC
10FNASTAMA	FNA SERVICE SUPPORT	2MOR	2231138	HWTO - HARDWARE & TC
Total				

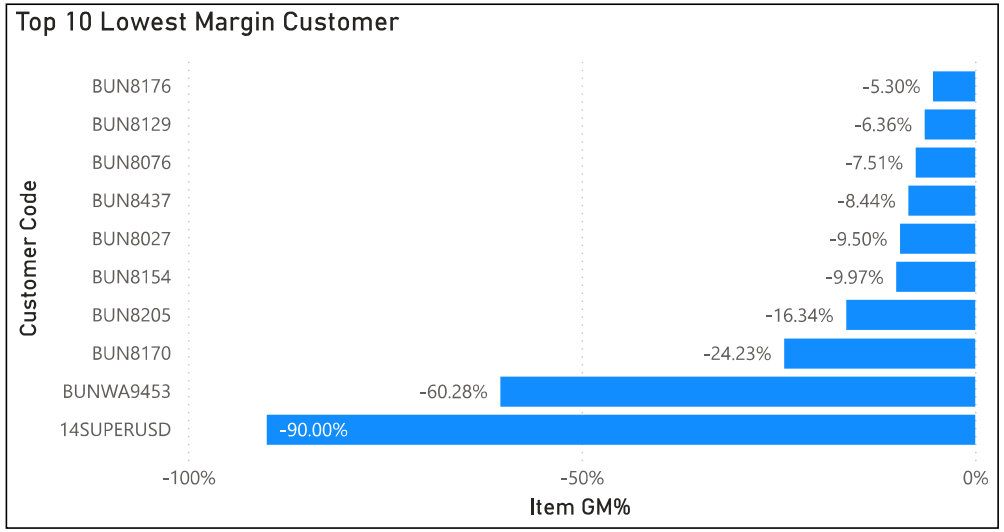

Top Highest Margin Item
UL67381133
B410RED
UL67295947
44-3745-09V
UL67297722
0176
B410REDKA5
52-3745-09
44-3745-09
52-3745-10
0420
$0.72M
$0.36M
$0.31M
$0.28M
$0.24M
$0.20M
$0.18M
$0.17M
$0.14M
$0.13M
$0.12M
Item Code
$0.0M
$0.2M
$0.4M
$0.6M
$0.8M
Item GM

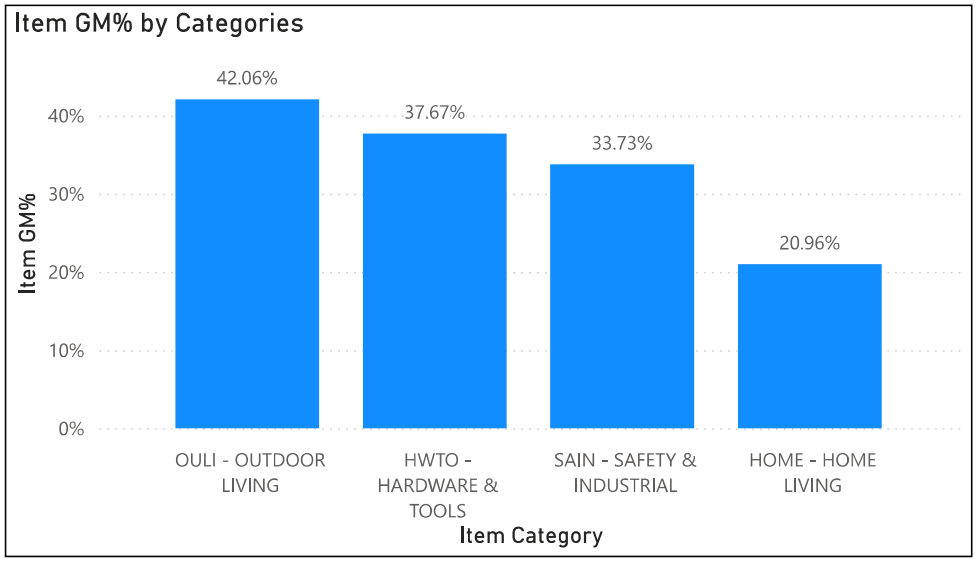

Top Lowest Margin Item
DXPW160WE
DXPW3200V
71800
CRCCRAP
MAT17
GKOLT40
CH10BXCG
TT402DK
DXIG3600
GAW00019
GKOSL20
($0.81M)
($0.68M)
($0.01M)
($0.01M)
($0.01M)
($0.01M)
($0.01M)
($0.01M)
($0.00M)
($0.00M)
($0.00M)
Item Code
($0.8M)
($0.6M)
($0.4M)
($0.2M)
$0.0M
Item GM

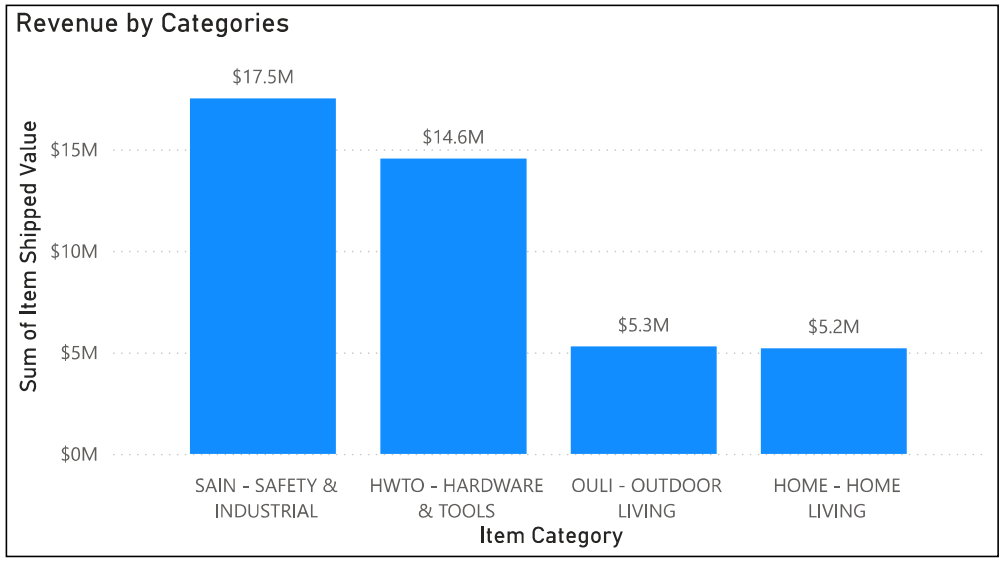

Revenue by Warehouses
$26M
$17M
$20M
$10M
$0M
Revenue
2MOR
4BRI
Warehouse


GM by Warehouses
$16.0M
$11.5M
$15M
$10M
$5M
$0M
GM
2MOR
4BRI
Warehouse


Top 10 Highest Margin Customer
Customer Code
MITWARAV
MITWAWEL
BIGW283
BIGW239
BIGW280
BIGW236
14BLAMACPK
BIGW122
BIGW278
BIGW391
53.03%
50.95%
46.69%
46.51%
46.12%
45.90%
45.13%
42.86%
40.71%
40.52%
0%
20%
40%
Item GM%


Top 10 Lowest Margin Customer
Customer Code
BUN8176
BUN8129
BUN8076
BUN8437
BUN8027
BUN8154
BUN8205
BUN8170
BUNWA9453
14SUPERUSD
-5.30%
-6.36%
-7.51%
-8.44%
-9.50%
-9.97%
-16.34%
-24.23%
-60.28%
-90.00%
-100%
-50%
0%
Item GM%


Item GM% by Categories
Item GM%
42.06%
37.67%
33.73%
20.96%
40%
30%
20%
10%
0%
OULI - OUTDOOR LIVING
HWTO - HARDWARE & TOOLS
SAIN - SAFETY & INDUSTRIAL
HOME - HOME LIVING
Item Category


Revenue by Categories
Sum of Item Shipped Value
$17.5M
$14.6M
$5.3M
$5.2M
$15M
$10M
$5M
$0M
SAIN - SAFETY & INDUSTRIAL
HWTO - HARDWARE & TOOLS
OULI - OUTDOOR LIVING
HOME - HOME LIVING
Item Category